

markets that occurred between 2000 and 2009 created too much pressure for overextended investors, and many sold near market bottoms.

Only those investors who have an asset allocation at or below their tolerance for risk survive deep bear market. Finding an investment allocation that will survive during all market cycles is not easy, but it is worth the effort.

RISK TOLERANCE QUESTIONNAIRES

Risk tolerance questionnaires are common in the investment industry. Questionnaires are available through all mutual fund companies, brokerage firms, and private investment advisors. In addition, you can find them in financial planning books and in some investment-related magazines.

The goal of risk tolerance questionnaires is to find the maximum level of risk that an investor is capable of handling. In doing so, they ask various questions about your investment experience and try to model your risk-and-return profile. Some go as far as recommending an appropriate mix of investments based on your answers. If you are curious, there are sample questions from one questionnaire at the end of this chapter.

Questionnaires are one place to begin your inquiry into your risk tolerance; however, they should not be relied on for accuracy. One problem with this approach is that most questionnaires are too vague. They don't ask for enough information. Since each answer is important to the numeral risk score, a short list of questions means an unreliable result. In addition, if you took the same questionnaire several times over a one-year period, the results would be different each time you answered, depending on how you felt and your recent stock market experience.

Another concern with questionnaires is that the information is misused. The purpose of a questionnaire is to determine your *maximum* level of risk. They are not designed to determine your *appropriate* level of risk based on your financial needs. Nevertheless, sellers of investment products use the results to guide people into portfolios that have the maximum level of risk whether they need it or not. Why? Risky investments pay the advisor more money. Stock mutual funds have higher fees than bond mutual funds and pay brokers bigger commissions.

The timing of taking the questionnaire does have a significant impact on the answers you give. If the stock market has been in an upward trend and